June Labour Force: underemployment rising

#employment #labour #employment

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Employment: +76.3k (from +44.0k). Unemployment Rate: 4.4% (from 4.4%). Participation Rate: 67.0% (from 66.7%).

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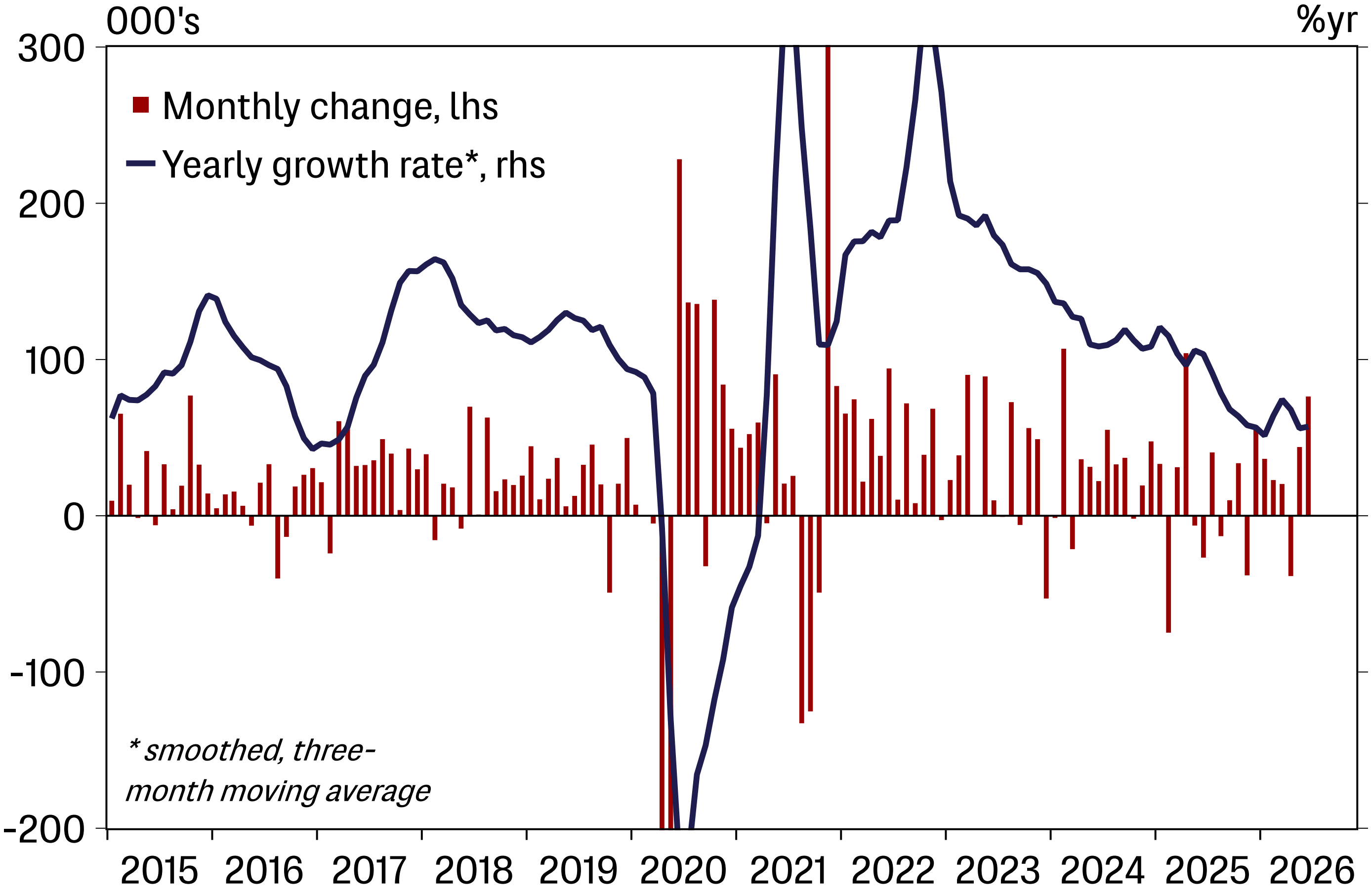
- The June Labour Force Survey (LFS) surprised to the upside, with employment bouncing +76.3k, but the gain was largely matched by a strong lift in labour supply as participation jumped +0.3ppts to 67.0%.
- The large employment gain looks to be driven by new entrants into the labour force, as there was already a large group of people who already had a job lined up back in May but weren't working. This helps explain why the unemployment rate held steady at 4.4%.
- Employment growth now looks more stable over the first half of the year than previously thought, but forward-looking indicators still point to a more challenging outlook.
- The rising trend in unemployment and underemployment, and stronger-than-expected participation suggest labour market slack is continuing build.

Some surprises in the headline results

Employment surprised materially to the upside in June, jumping +76.3k following a couple of volatile readings over April (–38.6k) and May (+44.0k). The strength in employment was matched by a sizeable lift in labour supply, which drove a 0.3ppt bounce in the participation rate to 67.0%. That was well above all analyst expectations, marking the highest participation in over a year. Since the increase in employment was driven by new entrants into the labour force, the unemployment rate held steady at 4.4%, though at the second decimal place it edged slightly higher (4.37% to 4.43%).

Explaining at least some of this surprise, the ABS noted that in May, there was a larger group of individuals who already had a job lined up but just hadn't started working, where come June they moved into the labour force and started work. While we do not have exact figures on this dynamic, it helps explain at least some of the reason why the unemployment rate did not fall, as the increase in jobs was largely matched by a parallel increase in labour supply.

Upside surprise on employment driven by participation



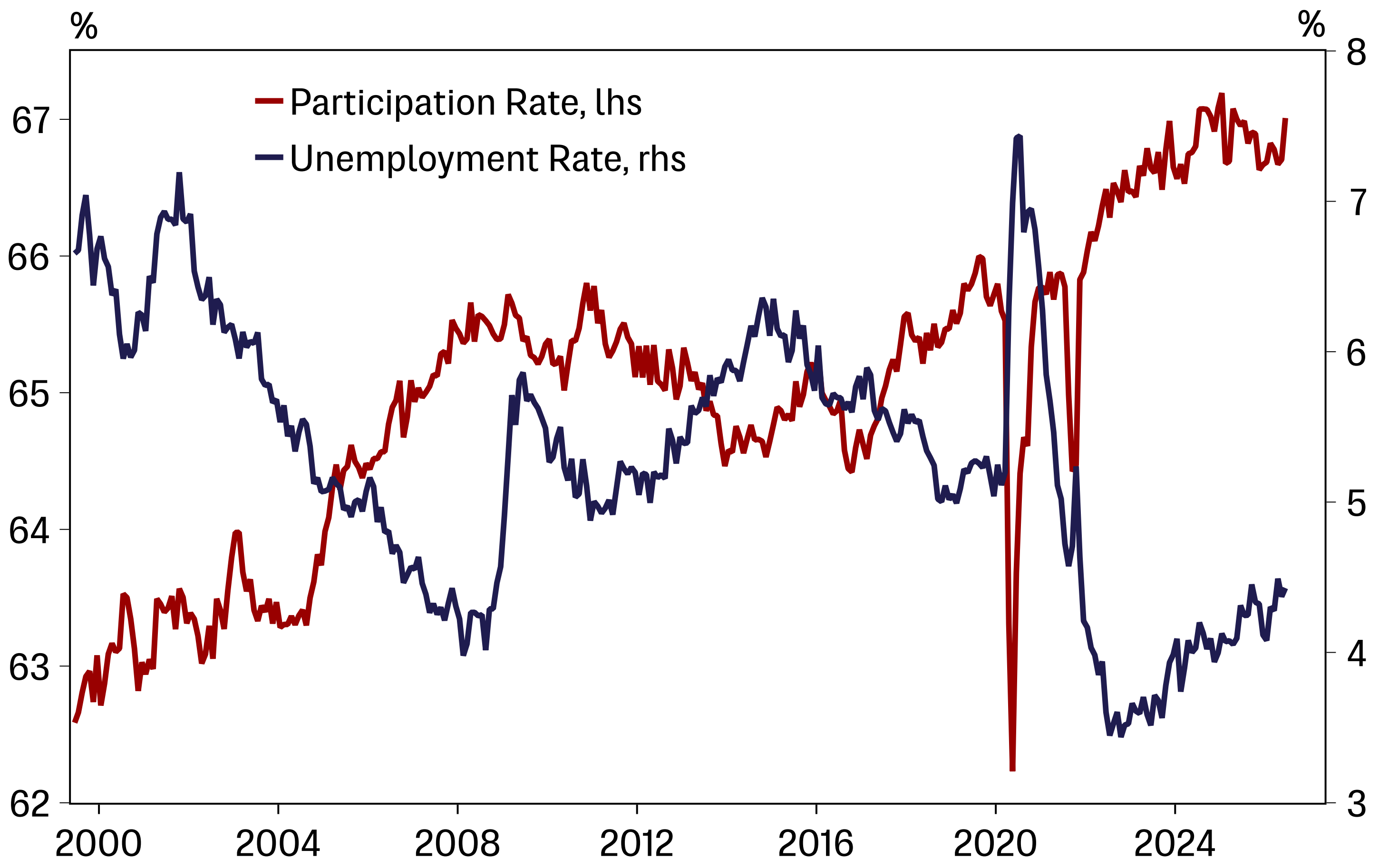
Source: ABS, Macrobond, Westpac Economics

Employment appears more stable, but outlook still gloomy

Heading into this release, it looked as though the brief recovery in the labour market around the start of the year was quickly fading. Employment had expanded around +27k/mth in Q1 but then stalled over April and May. That sudden loss of momentum was surprising, because we had expected the drag from higher inflation and recent interest rate rises to take longer to flow through the economy and into the labour market. In other words, we had been looking for a clearer weakening in employment growth to emerge later in the year, rather than as early as Q2. But after booking in June's upside surprise, Q2 employment growth has averaged +27k/mth, virtually spot on with Q1. This paints a stable trend for employment growth over the first half of the year, despite significant month-to-month noise.

While the current trend for employment growth is not as gloomy as it appeared previously, the outlook remains challenging. This is corroborated by other forward-looking measures, particularly the year-ahead employment expectations measure from the Q2 NAB business survey, which recorded its largest fall since the pandemic (–9pts). Ordinarily, a decline of this size would signal a more sluggish outlook for employment growth. While the survey was in the field when uncertainty around the Middle East conflict was particularly high, this sort of volatility usually has much less impact on year-ahead employment plans than current employment or near-term employment expectations. In any case, given the re-escalation in tensions in recent weeks, these concerns might not have fully faded.

Participation bounces, unemployment drifting higher

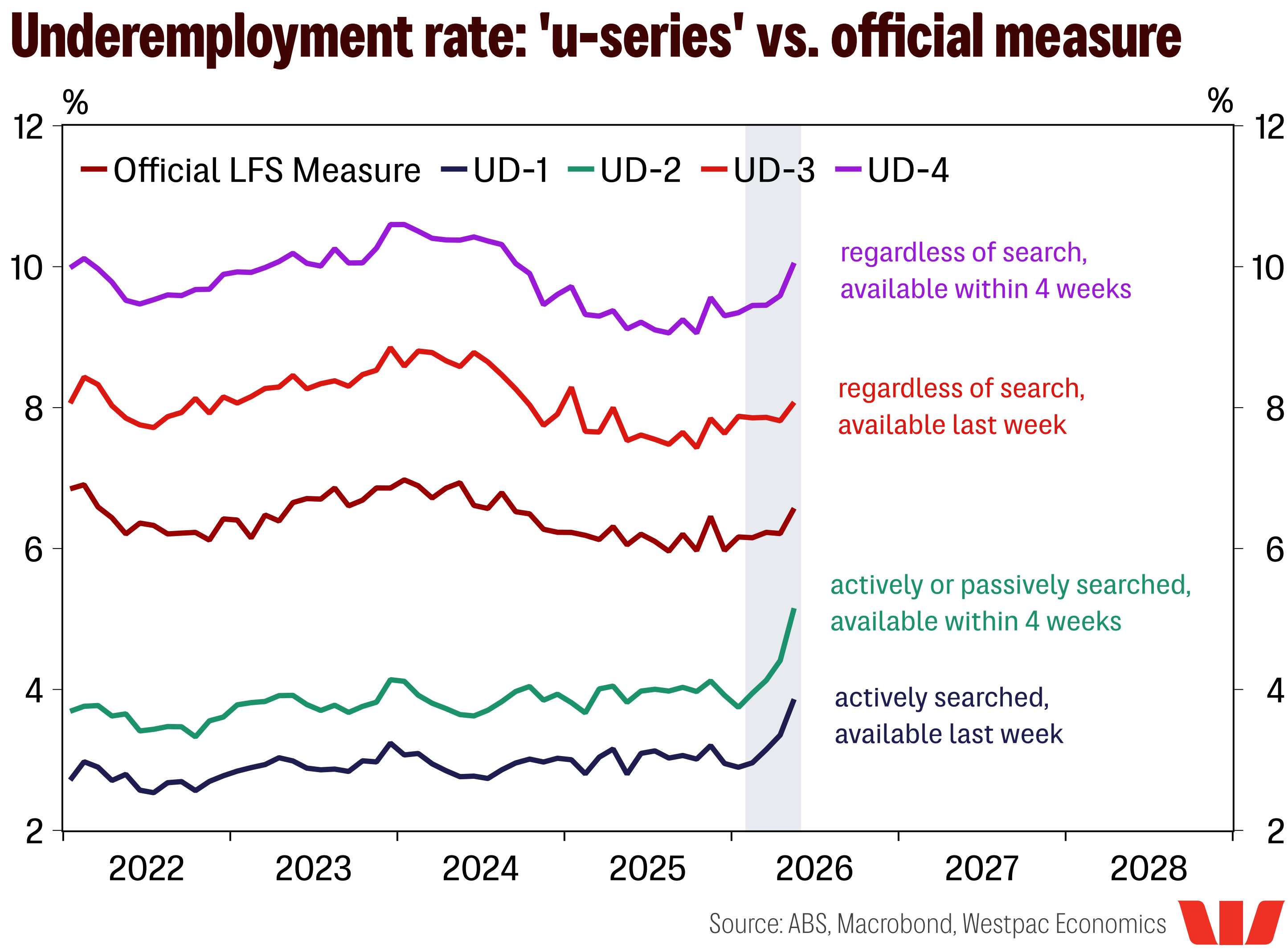


Source: ABS, Macrobond, Westpac Economics

Rising underemployment points to growing slack

One-and-a-half weeks after publishing the May LFS, the ABS identified a “systems error” which meant that the originally published underemployment data was incorrect. Upon the data being reissued, May’s underemployment ratio (relative to employed) had been understated, with the measure revised up ½ppt to 6.6%. June’s data extended that uptrend, the underemployment ratio rising further to 6.8% – the highest in over two years. In our preview, we also discussed the broader suite of underemployment measures (called the ‘u-series’), which are also pointing to a significant rise in underemployment.

The lift in underemployment may reflect a mix of both demand-side and supply-side factors. As noted above, employment growth and business surveys suggest labour demand is softening. At the same time, high inflation and rising interest rates are likely inducing more workers to search for additional hours of work to offset cost-of-living pressures. Both sets of factors could be driving increased labour market slack and may be a pointer to higher measured unemployment down the track.



What does this mean for the outlook?

There are two main messages from today's data. Firstly, the picture for employment looks a bit better than last month – the pace for employment growth appears to have been broadly stable over the first half of the year, rather than at risk of falling into a sudden weakening. This is more in line with our general assessment that if there is going to be further softening in the labour market, it is more likely to occur over the second half of the year.

Secondly, labour force participation has generally held up better than employment, resulting in the unemployment rate continuing to drift higher. This will come as more of a surprise for the RBA, given the unemployment rate averaged 4.4% in Q2 (and was close to rounding up to 4.5%), well above the RBA's forecast of 4.2% from the May Statement of Monetary Policy.

This is one of the major points of difference between our forecasts and the RBA's. The RBA has a more pessimistic view on labour force participation, which helps explain why it expects a more gradual rise in unemployment than we do. If participation continues to track around, or above, our view – and therefore well above the RBA's – then the central bank may be underestimating both the amount of slack that can emerge through stronger labour supply and the economy's potential output growth.

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